Visa Token Service: Merchant-Facing FAQ

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Merchant-Facing Key Messages:

- The implementation of payment tokens is designed to accelerate innovation by reducing both the security profile of payment data, and the cost of securing that data, within mobile operating systems.
- Merchants will be able to seamlessly accept Visa within their mobile applications and increase consumer satisfaction by reducing the friction found in many mobile application payment interfaces today.
- Merchants do not need to make any changes to accept transactions initiated with a Visa payment token at contactless-enabled point-of-sale (POS) terminals.
- For payments initiated by consumers using a "mobile app" on the iPhone 6, merchants have the option of accepting tokenized payment data generated by a secure chip in the consumer's device. If you desire to enable this capability, you should contact Apple for details on mobile app certification, and your acquirer processor or payment gateway for recommended testing and implementation requirements.
- In the future, Visa also intends to support merchants that would like to replace actual cardholder information with payment tokens for their e-commerce, m-commerce, and card-on-file payment experiences. These use-cases will require the merchants to enroll as token requestors with the Visa Token Service, or work with their acquirers to incorporate Visa tokens into their commerce solutions.

Q What do merchants need to do to enable tokenized payments?

A Merchants do not need to make any changes to accept transactions initiated with a Visa payment token at NFC contactless-enabled point-of-sale (POS) terminals supporting the Visa payWave protocol. For payments initiated by consumers using the merchant's "mobile app" on the iPhone 6 or iPhone 6 Plus, merchants have the option of accepting tokenized payment data generated by a secure chip in the consumer's device. Merchants that desire to enable this capability should contact Apple for details on how to token-enable their mobile apps and contact their acquirer processors for recommend testing and implementation.

In the future, Visa also intends to support merchants that would like to replace actual cardholder information with payment tokens for their e-commerce, m-commerce, and card-on-file (COF) payment experiences. These use cases will require the merchants to enroll as token requestors with the Visa Token Service.

Q **When customers pay with a token what data will merchants receive?**

A For an NFC transaction, a tokenized payment will be formatted using the same fields as regular payment data, including a 16-digit token account number and a token expiration date. Merchants desiring to accept payment tokens generated by a secure chip in Apple devices within the merchant's mobile app are recommended to contact Apple and their payment gateway or processor for additional information.

Q **With tokens, how do merchants know when a card expires so they can get a new expiration date?**

A The expiration dates of the underlying PAN and token can be different. In the present supported use cases (NFC at POS and in-app), the token expiration date will be securely provided to the merchant terminal and merchant payment gateway along with the token by Visa and Apple respectively.

Q **If a merchant is participating in Visa Checkout will the PAN be tokenized as part of Visa Token Service?**

A If a merchant is participating in Visa Checkout the PAN will not initially be tokenized as part of the Visa Token Service, but we expect to offer this functionality in 2015.

Q **For an NFC transaction involving merchandise that is subsequently returned, how should the merchant complete a refund?**

A A merchandise credit should be applied to the same consumer's account, but may be completed using either the digital or physical card account number.

Q **For tokenized transactions, will merchants be able to print the last four digits of the cardholders PAN on receipts?**

A VisaNet can be set up to optionally deliver the last four digits of the PAN to the acquirer via the new field 44.15 in the authorization response message, which will require a software change to allow the merchant to display or print the last four digits on the receipt or checkout screen. Alternatively, merchants may also print the last four digits of the token.

Q **How will tokenization help with a seamless shopping experience?**

A In the future, we expect that tokens will make seamless single-click shopping more secure. Today the single click button essentially serves as a type of alias, used to streamline user experience. Once a user clicks the button, a traditional PAN-based transaction ensues because PAN credentials are stored in the merchant database. As such, the merchant database and other downstream payment systems are susceptible to data hacking and theft of cardholder account information. By replacing card-on-file PANs with payment tokens, the merchant database that houses cardholder data – as well as the end-to-end transaction chain– will become more secure since the tokens are domain restricted.

Q In which cases would MDEX merchants become token requestors?

A There is no requirement for MDEX merchants to become token requestors. However, merchants that retain a repository of cards on file, for repeated use in mobile shopping, may wish to take advantage of the Visa Token Service and become token requestors in order to protect their card account data.

Q How may an existing token solution co-exist with the Visa Token Service?

A Existing proprietary token solutions can co-exist with the Visa Token Service. For example, a Visa-issued token that is presented for payment from a consumer's mobile phone in a merchant's environment will flow through that environment just as a PAN would. The Visa token can then be tokenized by the merchant's existing token service and stored along with transaction details for future use. The Visa token could be sent in the authorization request.

Q If I have an existing token solution, do I need to make any changes to it to support the Visa Token Service?

A No. Visa tokens are designed to look and act exactly like PANs do today. A Visa token will be 16 digits, begin with a "4," and pass MOD-10 check). Existing token solutions should operate as they do today once the Visa Token Service is introduced.

Q What are the implications of the token field mandate on the MDEX merchant's end of day process?

A MDEX merchants should work with their clearing acquirers/processors to understand any changes in the end of day process.

Q What will the cost of the Visa Token Service be to an MDEX merchant?

A Please contact your Visa Account Representative for commercial terms associated with the Visa Token Service.

CARDHOLDER EXPERIENCE

Q Is the tokenization process transparent to the consumer?

A In most cases the tokenization process will be transparent to the consumer.

Q Will the consumer know whether his/her card is tokenized?

A The token requestor (wallet provider or card on file merchant) and issuer may make the consumer aware that a payment token may be used in place of PAN to initiate purchases. However, the consumer does not need to remember or store the token number for any inquiries.

Q Can a consumer continue to use their physical card once the card is tokenized?

A Yes. The consumer can continue to user their physical card for purchases and making payments after the card number is tokenized.

Q Are token and card number interchangeable? Can consumers purchase a product using a token, and return the product at merchant store using a physical card?

A The token and card number are interchangeable securely within the Visa Token Service. A merchandise credit should be applied to the same consumer's account as the original transaction, but may be completed, if necessary, using either the digital or physical card account number. Please note that individual merchant policies may vary.